



# Customs (Import Deposits) Act 1968

1968 CHAPTER 74

ACT Rep. - 1975.  
C. 10. S. L. (Repeals.)

An Act to grant a new duty of customs repayable after a specified period. [5th December 1968]

Most Gracious Sovereign,

**W**E, Your Majesty's most dutiful and loyal subjects, the Commons of the United Kingdom in Parliament assembled, towards raising the necessary supplies to defray Your Majesty's public expenses, and making an addition to the public revenue, have freely and voluntarily resolved to give and grant unto Your Majesty the duties hereinafter mentioned; and do therefore most humbly beseech Your Majesty that it may be enacted by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

1.—(1) Subject to the provisions of this Act, there shall be charged on all goods imported into the United Kingdom a duty of customs, to be known as an import deposit, which, subject to subsection (11) of this section, shall be ~~50~~ <sup>1/40</sup> per cent of the value of the goods.

Charge of  
import  
deposits.  
1/40 subst.  
1969 C. 64 S. 1.

(2) An import deposit shall become repayable to the person by whom it was paid at the end of a period of 180 days beginning with the day on which it was paid; and where the entry of any goods names a person as having paid the import deposit in respect thereof, payment by the Commissioners to that person shall be a complete discharge of their liability under this subsection in respect of the import deposit paid on those goods.

1/40 subst.  
1970/598

(3) The import deposit chargeable on any goods shall be payable in addition to any other duty of customs for the time being

1958 c. 6. chargeable thereon and, notwithstanding the provisions of section 3(1) of the Import Duties Act 1958 or of any other provision contained in an Act other than this Act, the charge of import deposit shall not affect liability to customs duty chargeable under any other enactment or the amount of any such duty.

S.I. 1968/679. (4) Without prejudice to subsection (3) above, the definition of "revenue duty" in Article 2(5) of the Import Duties (General) (No. 4) Order 1968 (under which duty under the Import Duties Act 1958 is, in certain cases, only chargeable so far as the relevant rate of duty exceeds the revenue duty) shall not include any import deposit.

1963 c. 9. (5) Notwithstanding paragraph 2(b) of Schedule 2 to the Purchase Tax Act 1963, wholesale value for the purposes of purchase tax shall be arrived at without taking account of import deposit, and the charge of import deposit shall not affect liability to purchase tax under Group 35 in Part I of Schedule 1 to the Purchase Tax Act 1963 (which charges manufactured beverages but excludes those chargeable with any duty of customs specifically charged on spirits, beer, or wine and preparations thereof).

1952 c. 44. (6) Section 259 of the Customs and Excise Act 1952 (duties in respect of dutiable parts or ingredients) shall not have effect in relation to any import deposit.

(7) Section 273(3) of the said Act of 1952 (disregard of fractions of a penny) shall apply for the purpose of calculating the amount of any import deposit as if fractions of a pound were substituted for fractions of a penny.

(8) Import deposit in respect of goods entered for warehousing shall become chargeable at the time when, under section 28(2) of the Customs and Excise Act 1952, the goods are so entered for warehousing; and, so far as relates to import deposit—

(a) section 34(2)(a) of that Act (incidence of duty) shall apply to goods so entered for warehousing as if they were goods entered for home use, and to the exclusion of section 88 and section 34(2)(b) of that Act (under which the incidence of duty is in general determined as at the time of removal from warehouse), and

1964 c. 49. (b) section 196 of that Act (time of payment of duty on hydrocarbon oils removed to a refinery), and section 6(1)(2) of the Finance Act 1964 (delivery of hydrocarbon oils for home use without payment of duty) shall not apply.

1961 c. 36. (9) Section 9 of the Finance Act 1961 (power to introduce surcharges or rebates in respect of customs and excise duties) shall not apply to any import deposit.

(10) Section 10 of the Finance Act 1901 (under which the 1901 c. 7. burden of a new duty imposed on a seller under a contract made before the new duty takes effect may, in the absence of agreement to the contrary, be transferred to the buyer) shall not apply to any import deposit.

(11) The Treasury may by order made by statutory instrument, subject to annulment in pursuance of a resolution of the Commons House of Parliament, provide, either as respects import deposits generally or as respects import deposits payable in respect of any specified description of goods, that the amount thereof shall be reduced from the percentage of the value of the goods specified in subsection (1) of this section, or obtaining by virtue of a previous order made under this subsection, to such lesser percentage as may be specified in the order.

(12) This section shall have effect as from 27th November 1968.

2.—(1) No import deposit shall be payable in respect of any goods Exemptions which are entered for home use or for warehousing if their value, and reliefs. together with that of any other goods comprised in the same entry (excluding goods exempt apart from this subsection from the payment of import deposit), does not exceed fifty pounds.

(2) No import deposit shall be payable, in the case of a person entering the United Kingdom, in respect of any of his personal effects, whether or not carried with him or contained in his accompanied baggage.

(3) No import deposit shall be payable in respect of goods of the descriptions specified in Schedule 1 to this Act (being goods classified in accordance with the Customs Tariff 1959).

(4) The Treasury may by order made by statutory instrument, subject to annulment in pursuance of a resolution of the Commons House of Parliament, add to Schedule 1 to this Act any description of goods specified in the order.

(5) Subject to subsection (4) of this section, Schedule 1 to this Act shall be construed in accordance with the interpretative provisions at the end of that Schedule.

(6) Schedule 2 to this Act (which authorises the giving of certain reliefs) shall apply for the purposes of this Act.

3.—(1) This Act may be cited as the Customs (Import Deposits) Short title, Act 1968. interpretation

(2) This Act shall be construed as one with the Customs and Excise Act 1952. extent and duration. 1952 c. 44.

(3) It is hereby declared that this Act extends to Northern Ireland.

*1/2 two years - subst. 1969 C. 64 S. 1(1)* (4) Duty under section 1 of this Act shall cease to be in force at the expiration of a period of ~~one year~~ *two years* beginning with the date on which this Act is passed, or at such earlier time as the Treasury may appoint by order in a statutory instrument laid before the Commons House of Parliament.

(5) Where, under Schedule 2 to this Act or under any other provision of the Customs Acts, import deposit has been remitted or repaid subject to a liability to pay the import deposit if any conditions or restrictions are not observed, subsection (4) above shall not affect that liability.

## SCHEDULES

## SCHEDULE I

Section 2(3).

## EXEMPTED GOODS

| Description of goods<br>(employing the Customs<br>Tariff 1959) | Title of tariff chapter, or summary of<br>tariff heading                                                                              |
|----------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|
| Chapter 1 (all headings)                                       | Live animals.                                                                                                                         |
| Chapter 2 (all headings)                                       | Meat and edible meat offals.                                                                                                          |
| Chapter 3 (all headings)                                       | Fish, crustaceans and molluscs.                                                                                                       |
| Chapter 4 (all headings)                                       | Dairy produce; birds' eggs; natural honey.                                                                                            |
| Chapter 5 (all headings)                                       | Products of animal origin, not elsewhere specified or included.                                                                       |
| Chapter 7 (all headings)                                       | Edible vegetables and certain roots and tubers.                                                                                       |
| Chapter 8 (all headings)                                       | Edible fruit and nuts; peel of melons or citrus fruit.                                                                                |
| Chapter 9 (all headings)                                       | Coffee, tea, maté and spices.                                                                                                         |
| Chapter 10 (all headings)                                      | Cereals.                                                                                                                              |
| Chapter 11 (all headings)                                      | Products of the milling industry; malt and starches; gluten; inulin.                                                                  |
| Chapter 12 (all headings)                                      | Oil seeds and oleaginous fruit; miscellaneous grains, seeds and fruit; industrial and medical plants; straw and fodder.               |
| Chapter 13 (all headings)                                      | Raw vegetable materials of a kind suitable for use in dyeing or in tanning; lacs; gums, resins and other vegetable saps and extracts. |
| Chapter 14 (all headings)                                      | Vegetable plaiting and carving materials; vegetable products not elsewhere specified or included.                                     |
| Chapter 15 (all headings)                                      | Animal and vegetable fats and oils and their cleavage products; prepared edible fats; animal and vegetable waxes.                     |
| Chapter 16 (all headings)                                      | Preparations of meat, of fish, of crustaceans or molluscs.                                                                            |
| Chapter 17 (all headings)                                      | Sugars and sugar confectionery.                                                                                                       |
| Chapter 18 (all headings)                                      | Cocoa and cocoa preparations.                                                                                                         |
| Chapter 19 (all headings)                                      | Preparations of cereals, flour or starch; pastrycooks' products.                                                                      |
| Chapter 20 (all headings)                                      | Preparations of vegetables, fruit or other parts of plants.                                                                           |
| Chapter 21 (all headings)                                      | Miscellaneous edible preparations.                                                                                                    |
| 22.10 ... ..                                                   | Vinegar and substitutes for vinegar.                                                                                                  |
| Chapter 23 (all headings)                                      | Residues and waste from the food industries; prepared animal fodder.                                                                  |
| 24.01 ... ..                                                   | Unmanufactured tobacco.                                                                                                               |
| Chapter 25 (all headings)                                      | Salt; sulphur; earths and stone; plastering materials, lime and cement.                                                               |
| Chapter 26 (all headings)                                      | Metallic ores, slag and ash.                                                                                                          |

| SCH. 1 | Description of goods<br>(employing the Customs<br>Tariff 1959)                                                 | Title of tariff chapter, or summary of<br>tariff heading                                                    |
|--------|----------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------|
|        | Chapter 27 (all headings) ...                                                                                  | Mineral fuels, mineral oils and products<br>of their distillation; bituminous<br>substances; mineral waxes. |
|        | Bromine and iodine within<br>28.01.                                                                            |                                                                                                             |
|        | Silicon, selenium and tel-<br>lurium within 28.04.                                                             |                                                                                                             |
|        | Mercury within 28.05 ...                                                                                       |                                                                                                             |
|        | Arsenic trioxide within<br>28.11.                                                                              |                                                                                                             |
|        | 31.01 ... ..                                                                                                   | Guano.                                                                                                      |
|        | Natural sodium nitrate<br>within 31.02.                                                                        |                                                                                                             |
|        | Basic slag within 31.03.                                                                                       |                                                                                                             |
|        | All goods within 31.04<br>except potassium chloride<br>(analytical re-agent<br>quality).                       | Mineral or chemical fertilisers,<br>potassic.                                                               |
|        | Fertilisers within 31.05 con-<br>sisting solely of natural<br>potassium nitrate and<br>natural sodium nitrate. |                                                                                                             |
|        | 32.01 ... ..                                                                                                   | Tanning extracts of vegetable origin.                                                                       |
|        | 32.04 ... ..                                                                                                   | Colouring matter of vegetable origin or<br>animal origin.                                                   |
|        | 33.01 ... ..                                                                                                   | Essential oils (terpeneless or not);<br>concretes and absolutes; resinoids.                                 |
|        | All goods within 35.01<br>except casein glues.                                                                 | Casein, caseinates and other casein<br>derivatives.                                                         |
|        | 35.02 ... ..                                                                                                   | Albumins, albuminates and other<br>albumin derivatives.                                                     |
|        | Edible gelatin within 35.03.<br>37.04, 37.05, 37.06 and<br>37.07 ... ..                                        | Exposed film and plates.                                                                                    |
|        | Flux calcined diatomite<br>within 38.03.                                                                       |                                                                                                             |
|        | 38.05 ... ..                                                                                                   | Tall oil.                                                                                                   |
|        | 38.06 ... ..                                                                                                   | Concentrated sulphite-lye.                                                                                  |
|        | 38.07 ... ..                                                                                                   | Spirits of turpentine and other<br>terpeneic solvents; crude dipentene;<br>sulphite turpentine; pine oil.   |
|        | 38.08 ... ..                                                                                                   | Rosin and resin acids and derivatives;<br>rosin spirit and rosin oils.                                      |
|        | Calcined bauxite within<br>38.19.                                                                              |                                                                                                             |
|        | 40.01 ... ..                                                                                                   | Natural rubber.                                                                                             |
|        | 40.03 and 40.04 ... ..                                                                                         | Reclaimed and waste rubber.                                                                                 |
|        | 41.01 ... ..                                                                                                   | Raw hides and skins.                                                                                        |

| Description of goods<br>(employing the Customs<br>Tariff 1959)                                                                                                                                                                                                                                                           | Title of tariff chapter, or summary of<br>tariff heading                   | SCH. 1 |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------|--------|
| Leather within 41.02, 41.03,<br>41.04 and 41.05, other<br>than dressed leather.                                                                                                                                                                                                                                          |                                                                            |        |
| 41.09 ... ..                                                                                                                                                                                                                                                                                                             | Leather parings and waste.                                                 |        |
| 43.01 ... ..                                                                                                                                                                                                                                                                                                             | Raw furskins.                                                              |        |
| 44.01 to 44.12 ... ..                                                                                                                                                                                                                                                                                                    | Wood, not planed or further manu-<br>factured.                             |        |
| 45.01 and 45.02 ... ..                                                                                                                                                                                                                                                                                                   | Natural cork and waste cork.                                               |        |
| 47.01 and 47.02 ... ..                                                                                                                                                                                                                                                                                                   | Paper-making materials (pulp and<br>waste paper).                          |        |
| 49.01 to 49.07 ... ..                                                                                                                                                                                                                                                                                                    | Books, newspapers, maps, charts,<br>manuscripts, typescripts, stamps, etc. |        |
| Trade advertising material<br>within 49.09 and 49.10,<br>being material the<br>primary purpose of<br>which is to stimulate<br>travel outside the United<br>Kingdom.                                                                                                                                                      |                                                                            |        |
| Trade advertising material<br>within 49.11, being pub-<br>lications, illustrated or<br>not, the primary purpose<br>of which is to stimulate<br>study or travel outside the<br>United Kingdom, or to<br>advertise exhibitions held<br>outside the United King-<br>dom, and less than full-<br>size reproductions thereof. |                                                                            |        |
| Printed matter within 49.11,<br>being—                                                                                                                                                                                                                                                                                   |                                                                            |        |
| less than full-size repro-<br>ductions of articles<br>falling within 49.01 to<br>49.07, or                                                                                                                                                                                                                               |                                                                            |        |
| less than full-size repro-<br>ductions of trade<br>advertising material<br>within 49.09 and 49.10,<br>being material the<br>primary purpose of<br>which is to stimulate<br>travel outside the<br>United Kingdom, or                                                                                                      |                                                                            |        |
| parts of books or book-<br>lets in the form of<br>printed pictures or<br>illustrations not bear-<br>ing a text and less                                                                                                                                                                                                  |                                                                            |        |

| SCH. 1 | Description of goods<br>(employing the Customs<br>Tariff 1959)                                                                                                                                                                                                                           | Title of tariff chapter, or summary of<br>tariff heading                                                           |
|--------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
|        | than full-size repro-<br>ductions thereof, or<br>printed documents,<br>printed diagrams and<br>printed architectural,<br>engineering and simi-<br>lar industrial designs<br>or plans, not being<br>trade advertising<br>material, and less<br>than full-size repro-<br>ductions thereof. |                                                                                                                    |
|        | Photographic prints within<br>49.11 imported in a<br>packet not exceeding 8<br>ounces in gross weight<br>which does not form part<br>of a larger consignment.                                                                                                                            |                                                                                                                    |
|        | 50.01, 50.02 and 50.03 ...                                                                                                                                                                                                                                                               | Silk worm cocoons, raw silk and silk<br>waste.                                                                     |
|        | 53.01 ... ..                                                                                                                                                                                                                                                                             | Sheep's or lamb's wool, not carded or<br>combed.                                                                   |
|        | 53.02 ... ..                                                                                                                                                                                                                                                                             | Other animal hair, not carded or<br>combed.                                                                        |
|        | 53.03 and 53.04 ...                                                                                                                                                                                                                                                                      | Waste of sheep's or lamb's wool or of<br>other animal hair.                                                        |
|        | 53.05 ... ..                                                                                                                                                                                                                                                                             | Sheep's or lamb's wool, or other<br>animal hair, carded or combed.                                                 |
|        | 54.01 and 54.02 ...                                                                                                                                                                                                                                                                      | Unspun flax and ramie.                                                                                             |
|        | 55.01, 55.02, 55.03 and 55.04                                                                                                                                                                                                                                                            | Raw cotton, linters and waste; cotton,<br>carded or combed.                                                        |
|        | 57.01, 57.02, 57.03 and 57.04                                                                                                                                                                                                                                                            | Unspun hemp, jute and other vegetable<br>textile fibres.                                                           |
|        | 57.06 ... ..                                                                                                                                                                                                                                                                             | Yarn of jute.                                                                                                      |
|        | Yarn of coir within 57.07,<br>not containing man-made<br>fibres.                                                                                                                                                                                                                         |                                                                                                                    |
|        | 57.10 ... ..                                                                                                                                                                                                                                                                             | Woven fabrics of jute.                                                                                             |
|        | Hand-made knotted carpets,<br>carpeting and rugs within<br>58.01.                                                                                                                                                                                                                        |                                                                                                                    |
|        | Coir mats and matting with-<br>in 58.02.                                                                                                                                                                                                                                                 |                                                                                                                    |
|        | Jute sacks and bags within<br>62.03.                                                                                                                                                                                                                                                     |                                                                                                                    |
|        | Chapter 63 (all headings) ...                                                                                                                                                                                                                                                            | Old clothing and other textile articles;<br>rags.                                                                  |
|        | 71.01 to 71.10 ... ..                                                                                                                                                                                                                                                                    | Pearls, synthetic and natural, precious<br>and semi-precious stones and precious<br>metals not fully manufactured. |

| Description of goods<br>(employing the Customs<br>Tariff 1959)                                                                                                                                                                                                                                                                               | Title of tariff chapter, or summary of<br>tariff heading                           | SCH. 1 |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------|--------|
| 71.11 ... ..                                                                                                                                                                                                                                                                                                                                 | Waste and scrap of precious metals.                                                |        |
| Chapter 72 ... ..                                                                                                                                                                                                                                                                                                                            | Coin.                                                                              |        |
| 73.01 ... ..                                                                                                                                                                                                                                                                                                                                 | Pig iron, cast iron and spiegeleisen, in<br>pigs, blocks, lumps and similar forms. |        |
| 73.02 ... ..                                                                                                                                                                                                                                                                                                                                 | Ferro-alloys.                                                                      |        |
| 73.03, 73.04 and 73.05 ... ..                                                                                                                                                                                                                                                                                                                | Iron and steel waste, scrap, shot, grit<br>and powder.                             |        |
| 74.01 and 74.02 ... ..                                                                                                                                                                                                                                                                                                                       | Copper matte; unwrought copper;<br>copper waste and scrap; master<br>alloys.       |        |
| 75.01 ... ..                                                                                                                                                                                                                                                                                                                                 | Nickel mattes; unwrought nickel;<br>nickel waste and scrap.                        |        |
| Unwrought nickel electro-<br>plating anodes within<br>75.05.                                                                                                                                                                                                                                                                                 |                                                                                    |        |
| 76.01 ... ..                                                                                                                                                                                                                                                                                                                                 | Unwrought aluminium and waste and<br>scrap.                                        |        |
| 77.01 ... ..                                                                                                                                                                                                                                                                                                                                 | Unwrought magnesium and waste and<br>scrap.                                        |        |
| Waste and scrap beryllium<br>within 77.04 and un-<br>wrought beryllium within<br>77.04.                                                                                                                                                                                                                                                      |                                                                                    |        |
| 78.01 ... ..                                                                                                                                                                                                                                                                                                                                 | Unwrought lead; lead waste and scrap.                                              |        |
| 79.01 ... ..                                                                                                                                                                                                                                                                                                                                 | Unwrought zinc; zinc waste and scrap.                                              |        |
| 80.01 ... ..                                                                                                                                                                                                                                                                                                                                 | Unwrought tin; tin waste and scrap.                                                |        |
| Chapter 81 (all headings) ... ..                                                                                                                                                                                                                                                                                                             | Certain base metals employed in<br>metallurgy and articles thereof.                |        |
| Aircraft within 88.02 of a<br>maximum total weight<br>exceeding 18,000 lbs.<br>(maximum total weight<br>to be that authorised in<br>the certificate of air-<br>worthiness in force in<br>respect of the aircraft<br>or, if there is no such<br>certificate in force,<br>ascertained in such<br>manner as the Com-<br>missioners may direct). |                                                                                    |        |
| Ships and other descrip-<br>tions of goods within<br>89.01, 89.02 and 89.03,<br>if of a gross tonnage of<br>80 tons or more (ascertained in accordance with<br>the Merchant Shipping                                                                                                                                                         |                                                                                    |        |

| SCH. 1 | Description of goods<br>(employing the Customs<br>Tariff 1959)                                                                                              | Title of tariff chapter, or summary of<br>tariff heading |
|--------|-------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------|
|        | Acts or, if not ships with<br>a gross tonnage under<br>those Acts, ascertained<br>in such manner as the<br>Commissioners may<br>direct).                    |                                                          |
|        | Fishing vessels within 89.01<br>of the kind commonly<br>known as Danish-type<br>seiners with a fuel carry-<br>ing capacity of not less<br>than 500 gallons. |                                                          |
|        | 89.04 ... ..                                                                                                                                                | Vessels for breaking up.                                 |
|        | Sound recordings not pro-<br>duced in quantity and<br>not for general sale,<br>within 92.12.                                                                |                                                          |
|        | Chapter 99 (all headings)                                                                                                                                   | Works of art, collectors' pieces and<br>antiques.        |

1. References in this Schedule to the provisions of the Customs Tariff 1959 are references to those provisions as for the time being in force.

2. The titles of chapters of the Customs Tariff 1959 and summaries of headings of the tariff in column 2 of this Schedule are provided for ease of reference only, and do not affect the descriptions in column 1 of this Schedule.

Section 2(6).

## SCHEDULE 2

### RELIEFS

#### *Goods intended for use in shipbuilding, repairing or refitting*

1.—(1) The Commissioners may remit—

- (a) the import deposit payable in respect of any goods if satisfied that it is intended to remove them to a registered shipbuilding yard and to use them in the yard as components, parts, preservatives or finishes of any ship being built, repaired or refitted in the yard, or of any such ship's equipment or machinery, and
- (b) the import deposit payable in respect of goods of descriptions for the time being prescribed for the purposes of section 5(3) of the Import Duties Act 1958 (relief for goods used in the construction and repair of boilers or propelling machinery of ships, and of accessories of such boilers and machinery) if satisfied that it is intended to use them (outside a registered shipbuilding yard) as components, parts, preservatives or

1958 c. 6.

Annex 724. 1968. Pt. II. p. 2388. sch. 1.

<sup>1/</sup> Briar root blocks, within 98.11, roughly shaped by sawing but  
not further manufactured

*(Added by S.I. 1969/240.)*



SCH. 2

finishes of the boilers or propelling machinery of ships, or of the accessories of such boilers and machinery,

but subject (in cases under both paragraph (a) and paragraph (b)) to such conditions and restrictions as the Commissioners may think fit to impose for the purpose of securing that the deposit is paid if the goods are disposed of or used in a way not qualifying for remission under this paragraph.

(2) Sub-paragraph (1)(a) of this paragraph shall not apply in relation to any ship of a description which is not for the time being included in Schedule 1 to this Act, and if the boilers or propelling machinery, or accessories thereof, in which goods qualifying for remission under sub-paragraph (1)(b) of this paragraph have been used as components or parts are used in a ship of a description which is not for the time being included in Schedule 1 to this Act, the deposit remitted in respect of those goods under this paragraph shall again become payable.

(3) In this paragraph "registered shipbuilding yard" means premises constituting such a yard for the purposes of the Import Duties Act 1958 or any shipbuilding yard in the Isle of Man.

1958 c. 6.

*Goods intended for use in building, repairing or servicing aircraft or for tests or experiments*

2.—(1) The Commissioners may remit the import deposit payable in respect of any goods—

(a) if satisfied that it is intended to use them as components or parts of any aircraft of a maximum total weight exceeding 18,000 pounds in the course of building, repairing, refitting, maintaining or servicing the aircraft, or

(b) if and so far as the relief appears to the Commissioners to be necessary or expedient with a view to conforming with an international agreement relating to the importation of materials, parts or components to be subjected to tests or experiments in the course of designing or developing a type of aircraft of a maximum total weight exceeding 18,000 pounds,

but subject to such conditions and restrictions as the Commissioners may think fit to impose for the purpose of securing that the deposit is paid if the goods are used in a way not qualifying for remission under this paragraph.

(2) A maximum total weight for the purposes of this paragraph is that authorised in the certificate of airworthiness in force in respect of the aircraft or, if there is no such certificate in force, is that ascertained in such manner as the Commissioners may direct.

*Goods for export*

3.—(1) The Commissioners may remit import deposit payable in respect of any goods if satisfied—

(a) that it is intended to re-export the imported goods, or goods incorporating the imported goods, or goods manufactured or produced from the imported goods; or

## SCH. 2

(b) that the remission of import deposit would conduce to the exportation of other goods, being goods constituting or incorporating, or manufactured or produced from, equivalent articles.

(2) The Commissioners may repay import deposit paid in respect of any goods if satisfied that those goods, or goods incorporating the imported goods, or manufactured or produced from the imported goods, have been exported.

(3) Any remission or repayment of import deposit under this paragraph shall be subject to such conditions and restrictions, if any, as the Commissioners may think fit to impose for the protection of the Revenue; and if any condition or restriction so imposed is not complied with, or if, where import deposit has been remitted under paragraph (i)(a) above, the goods are disposed of or used in a way inconsistent with the intention to re-export, the import deposit remitted or repaid shall become payable, or repayable, to the Commissioners.

(4) In this paragraph "equivalent articles" means goods of any description which, in the opinion of the Commissioners (having regard to such matters, and in particular to such of the following matters, namely, the description, quantity, quality, value and function of those goods and the imported articles respectively, as appear to the Commissioners to be relevant in the particular circumstances) are sufficiently similar to the imported articles or to goods which could be manufactured or produced from the imported articles, to be reasonably regarded for the purposes of relief under this paragraph as interchangeable with those articles or, as the case may be, with goods manufactured or produced from them.

(5) To facilitate applications for relief under this paragraph, the Commissioners may extend the said definition of "equivalent articles" so as to include all or any categories of articles which are classified in the Customs Tariff 1959 (as applied by orders under the Import Duties Act 1958), in the same heading, sub-heading or sub-division of a sub-heading as the imported goods; and, where the relevant heading is sub-divided, it shall be for the Commissioners to determine, as between the heading, and the relevant sub-heading or further sub-division, which is the appropriate classification to select.

(6) For the purposes of this paragraph—

(a) any reference to goods produced or manufactured from any imported goods shall be construed as including cases where the goods are produced or manufactured partly from the imported goods, or wholly or partly from other goods produced or manufactured from the imported goods;

(b) any container in which goods are exported, being a container—

(i) which is provided by the supplier of the exported goods and is not required to be returned to him, and

(ii) for which, if it were returned to him, that supplier would give no credit and would discharge no contingent liability,

shall be treated as forming part of the exported goods.

4.—(1) So far as relates to import deposits, section 38 of the Customs and Excise Act 1952 (under which imported goods may be warehoused without payment of duty) shall not apply to goods entered for warehousing unless the Commissioners are satisfied that the goods—

SCH. 2

1952 c. 44.

- (a) are being warehoused for the purpose of exportation or use as stores, or use in a way qualifying for remission of the deposit under paragraph 1, paragraph 2 or paragraph 9 of this Schedule; or
- (b) are goods which are being warehoused in the course of a trade or business in which the major part of the goods of the kind in question which are imported in the course of the trade or business are re-exported.

(2) Goods warehoused without payment of import deposit under paragraph (a) of the preceding sub-paragraph shall not be removed from warehouse, or otherwise removed from the control of the Commissioners, for any purpose, other than a purpose for which they may be warehoused without payment of deposit, except with the permission of the Commissioners given on being satisfied that it is impracticable to use the goods for any purpose for which goods may be warehoused under this paragraph without payment of deposit, and except after the deposit has been paid.

(3) Goods warehoused without payment of import deposit under sub-paragraph (1)(b) of this paragraph shall not be removed from warehouse, or otherwise removed from the control of the Commissioners, for home use except after the deposit has been paid.

*Reduction of duty on goods re-imported after processing*

5.—(1) Where there are imported into the United Kingdom any goods which—

- (a) have been previously exported from the United Kingdom (whether produced here or not), and
- (b) after being so exported have undergone outside the United Kingdom a process which has not changed their form or character, and
- (c) if they had not undergone that process, would on their importation have been exempted from import deposit by virtue of section 35 or section 36 of the Customs and Excise Act 1952 (goods re-imported without undergoing any process),

then, subject to the provisions of this paragraph, any import deposit which apart from this paragraph would be payable on their importation shall be reduced by the amount specified in the next following sub-paragraph or, if equal to or less than that amount, shall not be payable.

(2) Subject to the next following sub-paragraph, the amount referred to above is, in the case of any goods, the amount of the import deposit payable (apart from any relief under the said section 35 or section 36 or under this paragraph) on the importation of the like goods which are in the same state as the goods in question were in when exported from the United Kingdom.

SCH. 2

(3) For the purposes of this paragraph, any sum contracted to be paid for the execution of a process on any goods shall be prima facie evidence of the difference attributable to that process between the value of the goods and the value of the like goods referred to in sub-paragraph (2) above; but this provision shall be without prejudice to the powers of the Commissioners under any enactment as to the ascertainment of the value of goods.

1952 c. 44.

(4) For the purpose of determining whether any goods would have been exempted from import deposit as mentioned in sub-paragraph (1)(c) above under section 36 of the Customs and Excise Act 1952, any such deposit payable in respect of them on a previous importation into the United Kingdom but not required to be paid shall be deemed not to have been payable.

*Articles for scientific research, etc.*

6.—(1) Articles intended to be used in scientific research, or for a purpose connected with the advancement of any branch of learning or art or with the promotion of any sport, and not intended to be sold, or to be used for any purpose which is substantially a commercial purpose, shall qualify for relief from import deposit in accordance with this paragraph.

1958 c. 6.

(2) In relation to articles of the description in sub-paragraph (1) above (which is the same as the description in paragraph 3 of Schedule 4 to the Import Duties Act 1958 (goods qualifying for exemption under Treasury directions)) section 6 of that Act (power to exempt particular importations of certain goods) shall apply as respects the repayment or remission of import deposit as it applies as respects the repayment or remission of import duty.

*Goods specially designed for the education, scientific or cultural advancement of the blind*

S.I. 1958/1976.

7.—(1) The Import Duty Reliefs (No. 4) Order 1958 (goods specially designed for the education, scientific or cultural advancement of the blind) shall apply as respects the repayment or remission of import deposit as it applies as respects the repayment or remission of import duty. [α]

(2) References in section 10 of the Import Duties Act 1958 (offences in connection with applications for relief) to relief under section 5 of that Act, or subsection (1) of that section, shall include references to relief given by virtue of this paragraph.

*Diplomatic privileges*

8. For the purpose of giving effect to any exemption from import deposit conferred, whether before or after the commencement of this Act—

1964 c. 81.  
1950 c. 14.

(a) by or under the Diplomatic Privileges Act 1964 or the International Organisations (Immunities and Privileges) Act 1950, or

(b) by any other enactment, or provision having effect thereunder, which is framed by reference to diplomatic privileges of the

[α] Para. 7(1) expld. (retros) - 1969 c. 64 s. 1(2)

kind specified in the said Act of 1964, or by reference to immunities and privileges under the said Act of 1950, the Commissioners may, subject to such conditions and restrictions as they may impose, allow goods to be warehoused or delivered or removed on importation without payment of any import deposit. SCH. 2

*Spirits used in manufacture*

9. Where under section 111 or 122 of the Customs and Excise Act 1952 c. 44. 1952 duty on imported spirits charged under section 1 of the Finance 1964 c. 49. Act 1964 is remitted or reduced, any import deposit payable in respect of those spirits shall be remitted.